Brazil Macro Monthly

Same baseline scenario, more expansionary risks

- The global scenario remains relatively positive for Emerging Markets. Growth moderated in the major economic blocs, but not enough to trigger recession fears. The Fed resumed its easing cycle, providing support for EM currencies. Institutional and geopolitical risks remain, however.
- In Brazil, discussions on who will be the opposition presidential candidate continue. Meanwhile, the government focuses on a positive agenda to boost President Lula's popularity.
- The government should meet its primary balance target this year and get close to the lower bound of the target next year, owing to extraordinary revenue. Nonetheless, there are risks on the radar, mainly due to possible election-related expansionary measures.
- Economic slowdown has spread across sectors recently. We reduced our 2025 GDP growth projection slightly, from 2.2% to 2.1%. For 2026, our forecast remains at 1.7%, with upside risks.
- On the back of a weaker US dollar globally, we adjusted our FX forecast to 5.30 reais per dollar for YE 2025 (5.50 before) and to 5.50 YE 2026 (from 5.30). Risks seem balanced ahead: on the one hand, high local interest rates; on the other, rising fiscal risks and a wider current account deficit.
- Industrialized goods and foodstuff prices remain subdued. A tight labor market is the primary upside risk, particularly for 2026. We kept our IPCA inflation projections at 4.8% for 2025 and 4.5% for 2026, with a downward bias for both years due to administered prices.
- Inflation dynamics improved but remain far from the 3.0% target. Copom members have kept a hawkish communication, and risks are tilted to more fiscal expansion ahead. Thus, we postponed the projected start of interest rate cuts from January to March next year. Expectation for the terminal Selic rate continues at 12.00%.

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XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current	
Economic Activity											
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,298	2,295	▼	2,415	2,412	▼
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,686	12,672	▼	13,522	13,508	▼
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.2	2.1	▼	1.7	1.7	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.0	▬	6.3	6.3	▬
Inflation											
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.8	4.8	▬	4.5	4.5	▬
Monetary Policy											
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.0	▬
Public Finances											
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.4	▲	-0.6	-0.4	▲
Primary balance for target calculation (% GDP)*	–	–	–	–	-0.1	-0.1	0.0	▲	-0.1	-0.1	▲
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.4	▲	-0.6	-0.5	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.1	-8.0	▲	-8.3	-8.2	▲
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	79.0	78.9	▼	83.4	83.1	▼
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	64.3	64.9	▲	67.7	68.8	▲
External Accounts and FX											
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.50	5.30	▼	5.70	5.50	▼
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	52.1	49.7	▼	53.4	53.4	▬
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	342.0	342.0	▬	350.6	350.6	▬
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	289.9	292.3	▲	297.2	297.2	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-77.1	-79.5	▼	-74.5	-74.5	▬
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.4	-3.5	▼	-3.1	-3.1	▬
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	72.6	72.6	▬	70.0	70.0	▬
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.2	3.2	▬	2.9	2.9	▬

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

Foreword – Hold your horses: the BCB is not likely to ease so soon

The Brazilian economy is gradually rebalancing. Signs of an (mild) economic deceleration are mounting – including the labor market –, which suggests lower inflationary pressure in the coming quarters. The BRL has consolidated its stronger levels (at around 5.3 reais to the dollar), contributing to keep goods inflation under control. Inflation expectations edged down.

Globally, the Fed resumed its monetary easing cycle, and China continues to export deflation to all countries but the US (due to higher tariffs).

That is good news for the Brazilian Central Bank (BCB). But as we pointed out in our previous Brazil Macro Monthly, it does not seem to be enough to solve its problem, namely, bringing IPCA inflation to the 3.0% target (or close to it).

The economy is losing some steam, but idleness indicators such as capacity utilization rate in industry and unemployment rate remain at record-tight levels. And there is government stimulus in the pipeline targeting the 2026 elections – which should revive domestic demand.

A more aggressive Fed easing could help, but it is also unlikely. Economic activity remains solid, and inflation is stubbornly above target in the US – with upside risks from tariffs.

It is difficult to see the BRL strengthening much further in this scenario. Particularly considering that domestic fundamentals are not helping much: fiscal uncertainties are elevated, balance of payments results have deteriorated, and political/electoral outlook remains cloudy.

We did not change our forecasts much this month. We continue to see a "soft patch" for economic activity that will help to bring inflation to the target range, but not to the target. We adjusted the BRL a bit to incorporate recent appreciation (to 5.3 from 5.5 reais per dollar for the 2025 year-end). And postponed the beginning of the monetary easing cycle by one Copom meeting (to March), reflecting the quite hawkish official communication from the Committee members.

Indeed, considering that the balance of risks is tilted to the upside - more fiscal stimulus, stronger domestic demand, higher inflation, and wider current account deficit – it is reasonable for the Copom to be more conservative, even with the baseline scenario evolving as expected.

We still see room for a monetary easing cycle next year, allowing a less restrictive – although still restrictive – Selic rate. Our terminal rate remains at 12.00%, but this forecast has an unusual degree of uncertainty, heavily dependent on the evolution of geopolitical risks and the perspective of fiscal reforms following next year's elections in Brazil.

Global backdrop – Goldilocks to continue?

Caio Megale

The global scenario remains positive for EM. Growth has moderated in the main economic blocs, but not enough to trigger recession fears. Governments continue to stimulate domestic demand, particularly in Europe and China. The Federal Reserve resumed its monetary easing cycle, and one should expect more rate cuts this year and in 2026. This "goldilocks" scenario boosted Emerging Market asset prices in recent months.

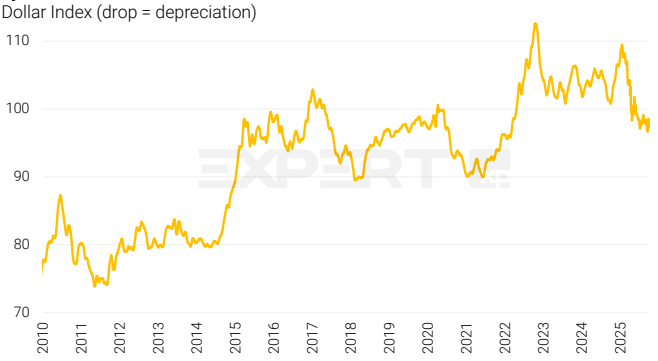
Risks remain, however.

The Fed may disappoint the market's dovish outlook. Activity numbers in the US do not clearly suggest a slowdown. If it is true that job creation is weakening, even turning negative, consumption and income are still consistent with above-potential GDP growth. Thus, the Fed may well disappoint the market's most dovish views.

Institutional risk. Tensions between the Trump administration and the Fed may lead to a less technical monetary policy conduct. That would hit US credibility, with negative consequences for the dollar. That said, the net effect could be negative for EM currencies, depending on the impact on global risk aversion.

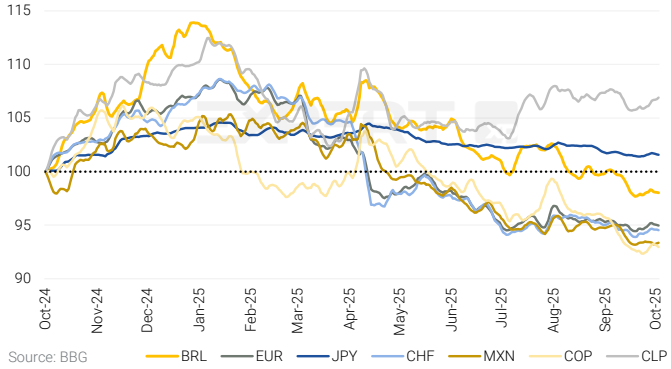
Commodity prices in fragile equilibrium. Commodity prices have remained relatively stable in recent quarters, reflecting a lukewarm global growth. But market specialists point to oversupply in some key commodities for Brazil, such as crude oil and iron ore. Oil prices below, say, 60 dollars per Brent barrel, would hit Brazilian exports and tax revenues significantly.

The US dollar weakend further as the Fed resumed the easing cycle
Dollar Index (drop = depreciation)



Source: BBG

BRL has moved in line with other currencies over the past months
Oct24 = 100 (Drop = appreciation)



Source: BBG

Further decline in commodity prices, particullary oil, is a risk for Brazil
Price index of the main Brazilian commodities exported* (USD)

Source: BBG, XP
* Soybeans, corn, oil and iron ore

BRAZIL – Same baseline scenario, more expansionary risks

Political environment – With no defined opposition candidate, government focuses on positive agenda

Paulo Gama, Bárbara Baião, Bianca Lima e João Paulo Machado

In October, discussions about the opposition's candidacy for the Presidency are expected to remain in the spotlight, still under the impact of Tarcísio de Freitas' recent moves to distance himself from the role of protagonist in the process.

The Governor's public retreat happened weeks after his forceful manifestation at the opposition rally at the beginning of last month, on September 7th. The critical tone he adopted on that occasion did not bring the expected unity on the right, and the former Minister of Jair Bolsonaro ended up becoming a target both of the former President's family, in a movement led by Eduardo Bolsonaro, and of the Planalto Palace. The scenario led him to publicly state that he does not intend to be a candidate for the Planalto Palace next year.

Although this manifestation does not signal a definitive scenario — in our view, the candidacy selection process tends to bring him back into the game by the deadline in April — discussions in October are expected to remain under the impact of this movement, with alternatives being floated in the news, primarily featuring the name of Ratinho Jr., Governor of Paraná.

At the same time, there appear to be no incentives in the coming weeks for Eduardo Bolsonaro to abandon the ambition of presenting himself as his father's successor. The publication of the Federal Supreme Court's (STF) ruling convicting Bolsonaro and the appeals that may be filed by the defense are likely to keep the clash with the STF in the spotlight. Working in the opposite direction is the movement toward a rapprochement between Lula and Donald Trump, which began with a call between the two leaders earlier this week. The proximity between the two leaders reduces one of the platforms that Eduardo was using in his favor.

As we have previously pointed out, we do not believe that Jair Bolsonaro's definitive decision on who should represent him in 2026 will be announced in the short term, and this selection process should keep alternatives, including Tarcísio, alive.

On the government side, the focus will be on the discussion on expanding the Income Tax exemption bracket for those who earn up to BRL 5,000 a month — and the reduction for those earning between BRL 5,000 and BRL 7,350. The proposal is the

government's main bet to boost Lula's popularity in the election year, and its approval score in the House of Representatives — 493 votes to 0 — reveals the difficulty the opposition still has in standing up to the government's agenda. Even the possibility of reducing compensation and choking the government's coffers in 2026 was ultimately overcome by the popular appeal of the proposal. In this context, we see no difficulty for its passage in the Senate, where the bill is expected to be approved in sufficient time for its implementation in 2026.

Other government movements aiming for revenue in 2026 will need to be monitored this month. These include the bill that provides for a cut in tax benefits — which has not yet begun its progress in Congress — and the preparation of the operation that will allow the federal government to sell its participation in unexploited oil field areas. Both measures are relevant for the government to enter 2026 in a position that allows it to maintain the objective of pursuing the 0.25% GDP primary surplus target, as well as providing compensatory measures for the revenue shortfall from Provisional Measure 1303.

In parallel, pro-government forces are expected to continue giving voice to the discourse supporting the Constitutional Amendment Bill aimed at ending the 6x1 work schedule, as well as the bill that discusses free bus service in the country. Although both proposals have support from part of the Workers' Party (PT), they are still treated by the Planalto Palace as topics to be discussed in next year's campaign — and not as topics to be implemented in the short term.

Public finances – Baseline scenario remains unchanged, but fiscal risks have increased

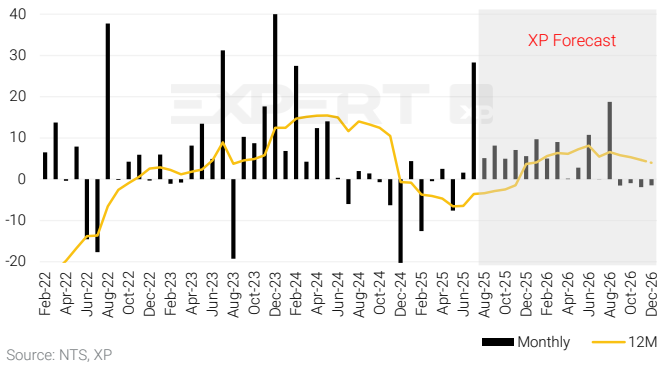
Tiago Sbardelotto

The central government has accumulated a primary deficit of BRL 85.8 billion this year. Tax revenue in August showed the first year-on-year decline since 2023, reflecting weaker economic activity and moderating prices. Nonetheless, the primary balance for the month was slightly better than last year's. We believe the coming months will show some recovery, but we still see downside risks on the revenue side.

Extraordinary revenues bring the government closer to the center of the target in 2025. The main change compared to our previous scenario is the anticipation of extraordinary revenue for this year – from the auction of non-contracted areas of oil extraction (BRL 15 billion). **We now expect a total primary deficit of BRL 53.7 billion (0.4% of GDP), and a deficit for the purposes of target calculation of BRL 3.9 billion (0.0% of GDP) – closer, therefore, to the "center" of the primary result target (zero).**

Expenditures are expected to pick up again after a period of decline

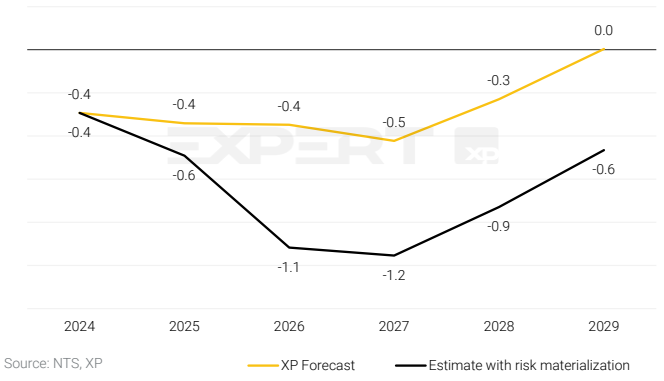
Primary expenditures at Dec/26 prices, YoY (%)



Source: NTS, XP

In 2026, the government will also rely on non-recurring revenue. Of the BRL 73.1 billion considered in our projections, approximately BRL 50 billion results from non-recurring revenue sources, primarily from oil auctions – which should amount to BRL 31 billion. Our updated projection indicates a deficit of BRL 58.3 billion (0.4% of GDP), or a deficit of BRL 8.5 billion (0.0% of GDP) with legal discounts, which is very close to the lower limit of the target. However, our calculation already considers a shortfall (under-execution) in expenditures of BRL 20 billion, **so that a cut of BRL 28.5 billion would be necessary to reach the lower limit of the target.**

The primary deficit may double if fiscal risks materialize
Primary balance (% of GDP)



Source: NTS, XP

The government may be forced to seek the "center of the target". In a recent decision, the Federal Court of Accounts (TCU, in Portuguese) warned that using the lower limit of the target range as a parameter for budget execution is incompatible with current fiscal rules. If this understanding is maintained, the spending cut for 2026 would have to rise to BRL 63 billion – which we believe is unfeasible. **Therefore, if the TCU's decision is confirmed, it is likely that the government will look to change the primary result target for 2026.**

Raising the spending limit reduces pressure in 2026. The BRL 13.4 billion increase in the spending limit resulting from PEC 66/2023 will help the government to comply with the expenditure rule next year. However, the risks are skewed upward, given that the backlog of BPC/LOAS benefits requests remains close to all-time highs. Addressing this backlog could increase primary spending by as much as BRL 18 billion in 2026.

Estimates of new revenues measures for 2026 BRL Bn

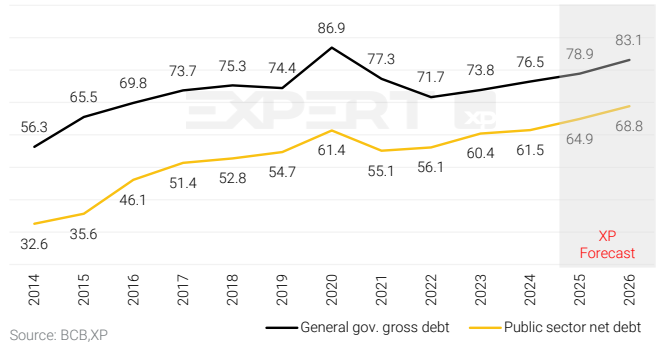
	Gov	XP
Taxing exempt securities	2.6	1.2
Tax on Betting companies revenue	1.7	2.5
Increase in CSLL rate for fintechs	1.6	1.6
Increase in interest on equity (IoE)	5.0	6.0
Limiting tax compensation	10.0	2.0
Tax expenditures reduction	19.8	0.0
Full transaction program	20.0	10.0
Data Centers tax benefits	-5.2	-5.2
Reintegra	-1.5	-3.0
Other	-1.1	0.0
Oil auctions	31.0	31.0
Dividends on owned state companies (extraordinary part only)	20.0	20.0
Non-tax transactions	7.0	7.0
	110.8	73.1

Source: Budget bill 2026, XP

Fiscal risks increase for next year. Discussions regarding increasing the "Bolsa Família" welfare program, free public transportation, and other fiscal measures are getting traction in the public debate. We estimate that legislative and judicial risks could reach BRL 385 billion in 2026, mostly on the expenditure side (graph).

Regional governments show deterioration. The results accumulated in August indicate a worsening in State governments' results, a consequence of weaker tax collection and accelerated spending in the run-up to the election cycle. The deficit of state-owned enterprises, in turn, continues to increase, driven by federal entities, whose negative results more than doubled in one year. **Thus, for the consolidated public sector (federal government, regional governments, and state-owned enterprises), we estimate a primary deficit of BRL 55.6 billion for 2025 (0.4% of GDP), and BRL 61.9 billion for 2026 (0.5% of GDP).**

Public debt rises even with government meeting its primary balance target
(% of GDP)



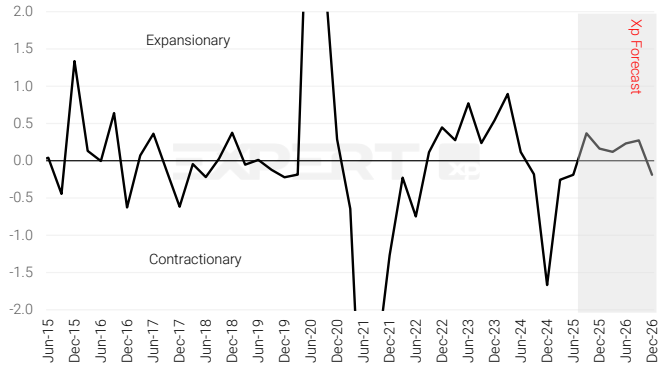
Source: BCB,XP

Public debt continues to rise. We project that the General Government Gross Debt (GGGD) will reach 78.9% of GDP at the end of 2025 and 83.1% of GDP at the end of 2026. Meanwhile, the Public Sector Net Debt (PSND) is expected to end this year at 64.9% of GDP, climbing to 68.8% of GDP next year. The most significant increase in 2026 is explained by a combination of

higher implicit debt costs - resulting from high interest rates and larger subsidies - and slower economic activity.

Fiscal policy returns to an expansionary mode. The central government's spending will increase in the wake of Court-ordered debt payments, in addition to higher salary and discretionary expenses. According to our estimates, fiscal impulse should turn positive, following three consecutive quarters in negative territory. This dynamic stems mainly from the design of the fiscal framework (and its multiple exceptions), which allows for spending growth well above inflation. Thus, we believe that a structural reform of the framework (and of expenditures) is essential for a more sustainable macroeconomic balance in the long term.

We expect expansionary fiscal impulse from mid-2025 onwards
Ciclically adjusted fiscal impulse (QoQ, % of GDP)



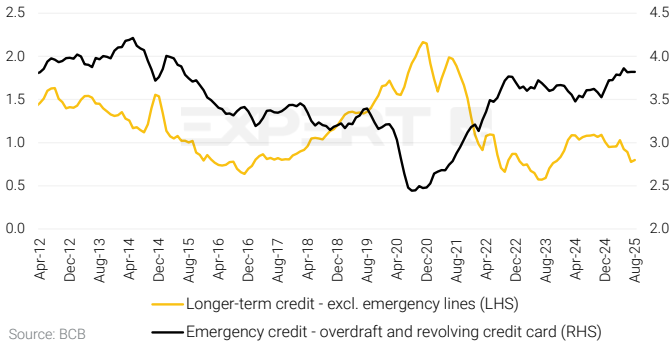
Source: XP

Activity – Downward revision for 2025, upside risks for 2026

Rodolfo Margato

Widespread economic slowdown in recent months. Most sectors have recently lost momentum, mainly due to contractionary monetary policy. The environment of high interest rates and rising indebtedness has chiefly weighed on capital goods and durable consumer goods categories, as seen in industrial production and retail sales data. The falling trajectory in credit concessions with non-earmarked resources and the increase in delinquency rates are not expected to reverse in the short term.

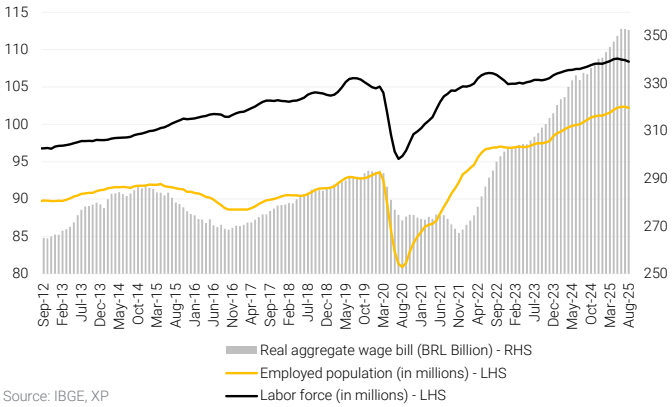
Cooling in longer-term credit contrasts with the increase in emergency credit
Concessions to individuals, non-earmarked-real daily avg. SAS (BRL Bn)



Source: BCB

Early signs of stabilization in the labor market. Employment and income indicators, which typically respond with a lag to changes in the overall economic activity cycle, showed moderation in Q3. That said, we believe the labor market will remain tight, with the unemployment rate near all-time lows (around 6.0%) and robust growth in the real aggregate wage bill (around 5.0% in 2025, after 7.2% in 2024). Labor supply constraints contribute to the scenario of rising wage costs.

Employment and income show incipient signs of stabilization
SAS



Source: IBGE, XP

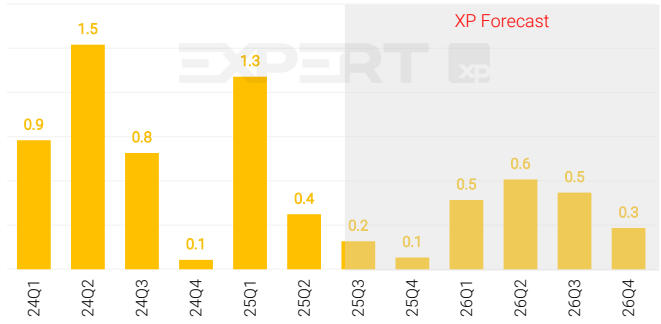
Impact of Court-ordered debt payments and the new private payroll-deductible credit in the spotlight. We assume that Court-ordered debt payments will increase household consumption by approximately BRL 25 billion this semester — equivalent to a 0.2pp addition to total GDP growth. Furthermore, we anticipate that the new payroll-deductible credit for private sector workers will speed up going forward, although recognizing that its contribution to 2025 GDP will likely be lower than initially projected (0.15 pp). In our view, the still elevated uncertainties surrounding these two themes explain the above-average dispersion in GDP projections for the second half of this year. Our current base case considers slight increases of 0.2% QoQ in Q3 and 0.1% QoQ in Q4.

Accordingly, we have revised slightly downward our 2025 GDP growth projection, from 2.2% to 2.1% (see table).

Nonetheless, we expect economic activity to pick up pace again in the coming year. Monetary policy will continue to exert a negative impact, especially on private investment. Conversely, income impulses should expand aggregate demand. The income tax exemption for individuals who earn up to BRL 5,000/month (and deductions for those earning up to BRL 7,350/month), the acceleration in private payroll-deductible credit concessions, and the significant increase in public investments — particularly driven by State governments — are factors expected to stimulate activity next year. For example, we estimate that the income tax exemption will add 0.3 pp to 0.4 pp to overall GDP growth.

Therefore, our expectation for 2026 GDP growth remains at 1.7%, with an upside bias. This scenario considers an average QoQ growth rate of 0.5%. In other words, activity will regain momentum after some stabilization in the second half of 2025. Potential quasi-fiscal measures in the election year add an upside bias to our projection.

Brazil's GDP is expected to gain steam throughout 2026
Total GDP. QoQ. SAS (%)



Source: IBGE, XP

External Accounts – Current account deficit stabilizes at a high level; upside bias for 2026 GDP growth is a risk

Luíza Pinese

Import and export volumes remain at historical highs. Monthly import volumes are strong, despite signs of a slowdown in domestic demand. In addition, Petrobras imported a USD 2.4 billion oil platform in September (one-off event). As a result, we raised our 2025 import forecast from USD 278.7 billion to USD 281.1 billion. In turn, our export projections have an upward bias due to growing meat and vehicle shipments, as well as a recovery in iron ore prices. **Our projection for the 2025 trade balance was revised downward from USD 60.7 billion to USD 58.3 billion, reflecting the impact of the above-mentioned platform import** (MDIC methodology).

For 2026, we keep our trade balance forecast at USD 62.0 billion (MDIC methodology). Solid grain harvest should continue to sustain exports, while a likely reacceleration of cyclical GDP components should keep import demand strong. Given our upward bias for 2026 GDP growth (see Activity section), risks to the trade balance remain tilted to the downside (narrower surplus).

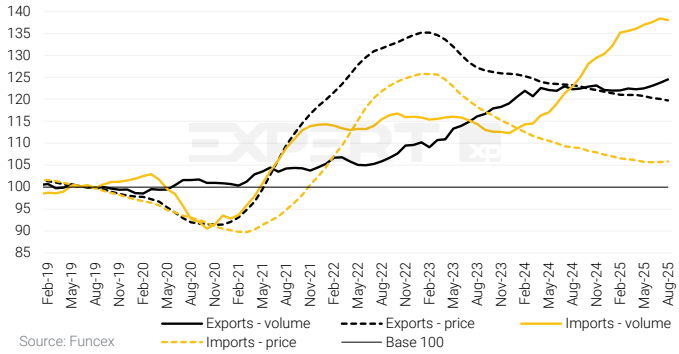
Given the updated trade balance figures, **our projection for the current account deficit increased from USD 77.1 billion (3.4% of GDP) to USD 79.5 billion (3.5% of GDP) in 2025. For 2026, our forecast remains at USD 74.5 billion (3.1% of GDP).** These

XP Forecast (%)

GDP Breakdown	2023	2024	2025 (F)	2026 (F)
Agriculture & Livestock	16.3	-3.2	8.6	2.5
Industry	1.7	3.3	1.2	1.0
Services	2.8	3.7	1.9	1.8
Total GDP	**3.2**	**3.4**	**2.1**	**1.7**
Household Consumption	3.2	4.8	2.0	2.0
Government Consumption	3.8	1.9	1.3	1.6
Gross Fixed Capital Formation	-3.0	7.3	4.3	1.4
Exports	8.9	2.9	2.7	2.3
Imports (-)	-1.2	14.7	4.0	2.1

Source: IBGE, XP

Imports resilient to economic slowdown; exports remain high
12MMA. 2019 = 100.



Source: Funcex

figures already incorporate recent data revision from the Central Bank, which marginally widened the 2025 current account deficit by USD 2.1 billion.

Foreign Direct Investment (FDI) inflows remain robust. FDI shows resilience, as reflected by the USD 8.0 billion net inflow seen in August. The upward revision of USD 2.6 billion for 2025 reinforces this positive trend. As this revision was already incorporated into our scenario, **the FDI forecast remained at USD 72.6 billion (3.2% of GDP) for 2025, and at USD 70.0 billion (2.9% of GDP) for 2026.**

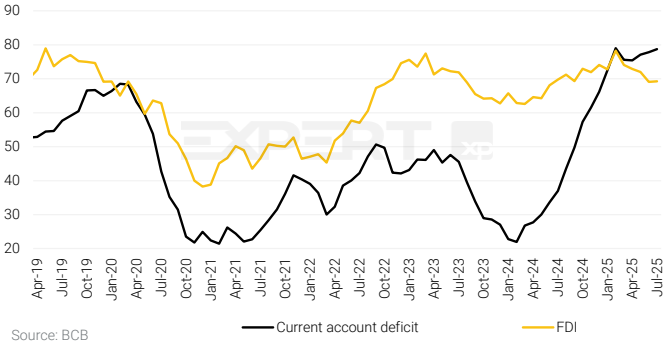
Balance of payments deterioration, nonetheless, warrants attention. In 2025, the current account deficit is set to exceed FDI inflows for the first time since 2015. The recovery in domestic demand is likely to add upward pressure on imports, profit remittances, and other income outflows, potentially widening the external imbalance further next year.

Stronger exchange rate due to a weaker US dollar globally

We lowered our YE 2025 exchange rate projection from 5.50 to 5.30 reais per dollar, incorporating the additional appreciation of the BRL seen in September. Going forward, however, we do not expect further strengthening, since: (i) the Fed's rate-cutting cycle is unlikely to be aggressive (see Global Backdrop section), (ii) fiscal and political uncertainties are elevated, and (iii) balance of payments dynamics remain a source of concern. **For YE 2026, we expect now 5.50 reais per dollar (5.70 before), reflecting inflation differentials and a moderate adjustment in the risk premium.**

Uncertainty around these projections is particularly elevated, given the complex geopolitical environment and that domestic fiscal and political risks are likely to gain strength as we move closer to the 2026 electoral cycle.

Current account deficit stabilizes at high level, upside bias for 2026 GDP is a risk
(USD Bn)



Source: BCB

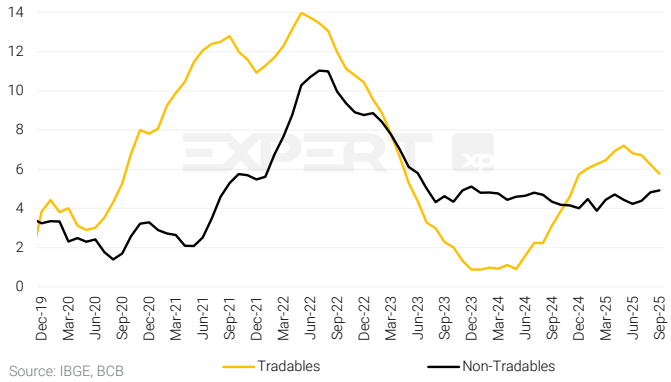
Inflation – Stronger BRL curbs goods prices, while tight labor market fuels services inflation

Alexandre Maluf

2025 disinflation remains concentrated in goods prices. The IPCA-15 for September (mid-month inflation preview) reinforced the current disinflation process, mainly driven by stronger BRL. Prices of industrial goods remain subdued, while service inflation remains elevated. Core inflation measures continue to run above the upper bound of the target range.

Industrialized goods inflation to remain low. Recent additional BRL appreciation has pushed wholesale inflation back into negative territory, adding downward pressure to the IPCA in the coming months. **We project industrial goods inflation at**

Tradable goods inflation declines amid BRL appreciation
IPCA-15, 12M (%)



Source: IBGE, BCB

2.6% in 2025. For 2026, we expect the group's inflation to remain below the historical average, at 3.0% - considering our exchange rate projection of 5.5 reais per dollar.

The tight labor market continues to put pressure on service inflation. Labor productivity remains stagnant, while real wages continue to rise, increasing the unit labor cost (see chart). Thus, despite some economic slowdown, service inflation is likely to stand above the upper bound of the target range: 6.0% in 2025 and 5.3% in 2026.

Electricity adds volatility to short-term IPCA. September inflation was heavily influenced by the end of the "Itaipu bonus" discount on electricity tariffs – contributing 0.4 pp to headline inflation. Additionally, ANEEL announced "red flag 1 fare" for October electricity fees. The later contributed to a 0.16 pp decrease in the headline monthly index, but did not affect the expected annual dynamics. For November and December, we continue to project "red flag 1" and "yellow flag" fares, respectively.

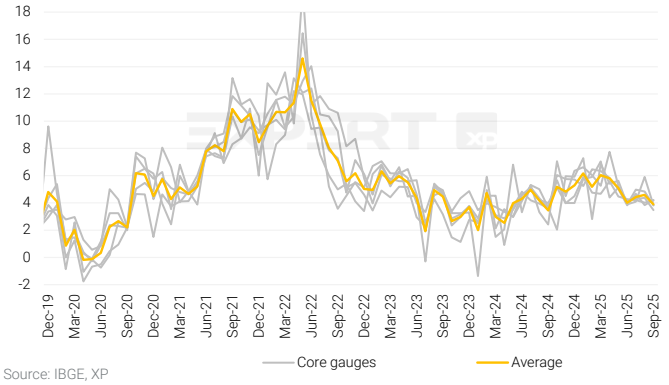
Gasoline poses a short-term downside risk. Our baseline scenario assumes flat gasoline prices ahead. However, we understand that increased oil production by OPEC+ and falling global oil prices represent short-term downside risks. If materialized, such factors could lead to price cuts in 2026.

Regarding administered prices, we project increases of 5.1% in 2025 and 4.3% in 2026 (see table for details).

Concerning foodstuff inflation, prices of fresh items such as vegetables, greens and tubers fell again in September, prompting a deflation of 0.6% in the group. We expect a return to positive territory in October and stronger numbers in the last two months of the year, in line with seasonality – we highlight rising prices of poultry, beef, and soybean oil. For 2026, our structurally bearish view on grain prices holds. Favorable climate conditions should also benefit fresh items production. On the other hand, protein prices are expected to accelerate considerably due to the livestock cycle inversion. We also see upward pressure on cereals, especially rice. In all, food-at-home inflation is expected to end next year at 5.4%, not much higher than the current year's result (4.6%).

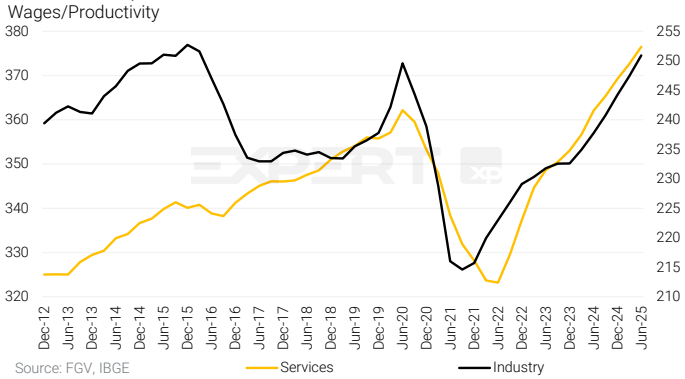
All considered, we did not change our annual IPCA projections. We continue to see 4.8% in 2025 and 4.5% in 2026. Our expectations have a slight downward bias, given recent FX dynamics and international fuel prices.

Core inflation gauges receded, but remain above the target
IPCA-15, 3M SAAR (%)



Source: IBGE, XP

Unit Labor Cost remains on an upward trend, keeping wage inflation under pressure
Wages/Productivity



Source: FGV, IBGE

Monitored prices forecast - main subitems 12M (%)

	2023	2024	2025 (F)	2026 (F)
Water and sewerage maintenance	10.1	5.2	5.5	5.8
Cooking gas	-6.9	7.0	3.7	2.5
Electricity	9.5	-0.4	9.8	6.0
Bus fares	0.8	0.3	6.1	0.6
Car licensing and registration	21.2	-1.0	2.4	2.5
Gasoline	12.1	9.7	1.7	3.6
Diesel oil	-7.8	0.7	1.5	2.0
Pharmaceutical products	5.8	6.0	4.7	5.0
Health insurance	11.5	7.9	6.5	6.5
Monitored	**9.1**	**4.7**	**5.1**	**4.3**

Source: IBGE, XP

IPCA Groups 12M (%)

	2023	2024	2025 (F)	2026 (F)
Monitored prices	9.1	4.7	5.1	4.3
Market-set prices	3.1	4.9	4.7	4.6
Food at home	-0.5	8.2	4.6	5.4
Industrials	1.1	2.9	2.6	3.0
Services	6.2	4.8	6.0	5.3
IPCA headline	**4.6**	**4.8**	**4.8**	**4.5**

Source: IBGE, XP

Monetary Policy – Balance of risks and official communication suggest a longer pause

Caio Megale

The economic scenario has been evolving relatively as we expected. Current inflation and inflationary expectations receded somewhat, the BRL strengthened further, and economic deceleration is clearer. We even reduced a bit our forecast for 2025 GDP growth.

Thus, one would expect that our baseline scenario for monetary policy (gradual rate cuts starting in January 2026) remains the same.

Nevertheless, the balance of risks is turning to the hawkish side by the day. Fiscal and quasi-fiscal stimulus measures discussed by local media could lead to stronger domestic demand, higher inflation, and a wider current account deficit next year. The labor market remains tight, and inflationary expectations remain quite above the target. Thus, **from a balance-of-risks approach**, it seems wise for Copom to wait longer before starting an easing cycle, to ensure that disinflation continues.

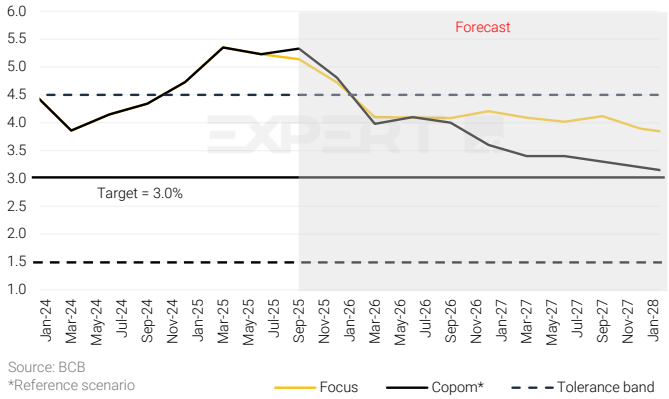
Official communication remains hawkish, backing this approach. Last Copom's post-meeting statement brought higher-than-expected inflation forecasts, while reiterating the view that "it will not hesitate to resume the rate hiking cycle if appropriate".

Thus, we opted to postpone our expectations for the start of the easing cycle from January to March. We still see room for a monetary easing cycle next year, allowing for a less restrictive – although still restrictive – Selic rate.

We continue to anticipate that Selic rate will reach 12.00% after six consecutive 50-bp cuts. The policy rate would stabilize at around 7.5% in real terms, above what we consider neutral, due to fiscal challenges for the next presidential mandate.

Fiscal reforms are needed for monetary policy to return to neutral. For the Selic rate to get closer to its neutral level – around 5.5% in real terms, as per our estimates – fiscal reforms that reduce the pace of expenditure growth are key. Without them, rising government debt may revive the debate over **fiscal dominance** that took place in Q4 2024.

Market inflation forecasts remain above official projections
IPCA 12M Forecast (%)



Source: BCB
*Reference scenario

XP Forecasts

	2020	2021	2022	2023	2024	2025 (F) Prior	2025 (F) Current		2026 (F) Prior	2026 (F) Current	
Economic Activity											
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,298	2,295	▼	2,415	2,412	▼
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,686	12,672	▼	13,522	13,508	▼
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.2	2.1	▼	1.7	1.7	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	6.0	6.0	▬	6.3	6.3	▬
Inflation											
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.8	4.8	▬	4.5	4.5	▬
Monetary Policy											
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	15.0	▬	12.0	12.0	▬
Public Finances											
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.4	▲	-0.6	-0.4	▲
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	0.0	▲	-0.1	-0.1	▲
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.5	-0.4	▲	-0.6	-0.5	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.1	-8.0	▲	-8.3	-8.2	▲
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	79.0	78.9	▼	83.4	83.1	▼
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	64.3	64.9	▲	67.7	68.8	▲
External Accounts and FX											
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.50	5.30	▼	5.70	5.50	▼
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	52.1	49.7	▼	53.4	53.4	▬
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	342.0	342.0	▬	350.6	350.6	▬
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	289.9	292.3	▲	297.2	297.2	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-77.1	-79.5	▼	-74.5	-74.5	▬
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.4	-3.5	▼	-3.1	-3.1	▬
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	72.6	72.6	▬	70.0	70.0	▬
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.2	3.2	▬	2.9	2.9	▬

* Excludes court-ordered payments beyond the limit

Source: IBGE, BCB, BBG, XP

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